

WHY PASSIVE FUNDS ARE GAINING TRACTION



←
Rising
awareness,
mushrooming
digital
investment
platforms

←
They are more
accessible and
convenient and
have lower fees

←
It is becoming
tough to get
alpha and,
hence, investors
are focusing
on a market rate
of return

←
Sebi's MF Lite
regulations
that have light
regulations for
fund houses with
only passive
schemes

←
In the long term,
a large number
of active funds
fail to beat the
benchmark
returns given
by the passive
funds